

dies and allocations for the sector, including bringing in measures to boost consumer demand. “The EV industry still faces various operational roadblocks including infrastructure, high taxes, and high battery and component costs, leading to elevated EV prices. With the upcoming Budget, it is expected that the new policies designed by the government will resolve these issues,” says Ankur Khaitan, MD & CEO of TACC, a subsidiary of HEG Limited, which is setting up manufacturing capacity for graphite anodes to be used in lithium-ion batteries. Khaitan also hopes for some EV-consumer-friendly moves such as reduction in road tax for EVs, lowering of 18 per cent GST on EV conversion kits, an extension of the ₹1.5 lakh tax deduction on interest of EV loans, etc.

FISCAL CONSOLIDATION VS NEED TO SPEND

India’s tax receipts have been rising in recent years, ever since the introduction of the GST in 2017. In 2021-22, data from the Ministry of Finance shows that tax revenues exceeded the Budget estimates by ₹5 lakh crore or 34 per cent to ₹27.07 lakh crore. This fiscal, too, the government has publicly said it is expecting ₹3-3.5 lakh crore in additional taxes, thanks to higher GST collections. This has several benefits. One, it helps keep the fiscal deficit under control. The deficit, which has already shrunk from 9.5 per cent in Covid-19-impacted FY21 to 6.9 per cent in FY22, is expected to fall further to less than 6.4 per cent of GDP in FY23. In fact, Goldman Sachs expects the fiscal deficit for FY23 to be 5.9 per cent. The government’s target is to bring that to 4.5 per cent of GDP by 2025-26.

But as Deloitte’s Guha points out, the deficit would be well above 10 per cent when both central and



“Enterprises invest when they reach capacity or see an opportunity. We just need simple laws, ease of doing business, etc.”

Nadir Godrej
MD, GODREJ INDUSTRIES;
CHAIRMAN, GODREJ
AGROVET



“Growth and jobs are top priorities for the government, and any additional revenues would likely be spent on further capex”

Ranen Banerjee
PARTNER AND LEADER-
ECONOMIC ADVISORY
SERVICES, PwC INDIA

state government deficits are consolidated. That would translate to higher total public debt—estimated at 80 per cent of GDP—even though state government revenues are also climbing. Plus, falling export growth and relatively lower fall in import growth is increasing the trade deficit, which is contributing to a rise in the CAD, currently at a high 4.4 per cent of GDP in the July-September quarter. That is the highest CAD India has seen since April-June of 2013. Continuing GDP growth at around 5-6 per cent, even if it is slowing, does provide hope that the deficit will be kept under control over the next few years, with the foreign exchange reserves of the RBI, at nearly \$563 billion in December 2022, providing additional succour.

The argument, therefore, is on the mechanism to increase revenue to fund the government’s spends, instead of borrowing. Increasing taxes is the most straightforward option, but that is not easy with elections looming on the horizon. So, what else can be done? “We expect tax buoyancy to moderate in FY23 and FY24, implying that gross tax revenue growth is likely to be in line with nominal GDP growth,” says Nayar of ICRA. “In such a scenario, the government could focus on garnering additional revenues from other sources such as asset sales and monetisation. Besides, it should also limit growth in revenue expenditure, thereby curtailing the revenue deficit, while continuing to focus on growth-supportive capex.”

Chhibber of ICRIER says that the government needs to accelerate its privatisation programme. “India has roughly \$500 billion worth of capital in its public sector undertakings. About one-third is in the Maharatnas, which you can’t touch. But the other two-thirds you can accelerate. Although there have been one or two successes, mostly it has been